

‘growth’) options in his mutual fund allocation. Also, the fact that capital gains were tax-free after a year meant that Mr Sanghvi could regularly redeem his investments in his PMS without impacting returns.

The plan for Mr Sanghvi

Nikhil first had to decide the capital allocation for Mr Sanghvi between equity and debt. Since the required rate of return was higher than in Mr Talwar’s case, Nikhil decided to allocate a higher proportion of the portfolio to equity. The capital allocation for Mr Sanghvi was as follows:

Equity – 85 per cent,

Debt – 15 per cent

This breakup assumes 18.9 per cent per annum return from equity and 8 per cent per annum return from debt. The blended return of these two asset classes is 17.3 per cent per annum. With the asset allocation settled, Nikhil proceeds to help Mr Sanghvi figure out what to do with each asset class.

Equity strategy

For Mr Sanghvi, the return expectation from the portfolio was much higher than that for Mr Talwar. He also wanted regular cash flows. To meet the higher return expectation, Nikhil decided to give a higher allocation to small-midcaps compared to large-cap. His investments in mutual funds were made in the dividend paying options. Nikhil reminded Mr Sanghvi that dividends in equity mutual funds were tax-free. That would take care of one part of his annual cash flow requirements. The other part could be taken care through periodic redemptions of his portfolio whilst ensuring that the period of holding was more than a year (so that capital gains tax does not come into the equation).

Debt strategy